

Kaspi.kz KSPI

September 13, 2024 - 4:10pm EST
by

Dr1004

2024 2025

Price:	124.00	EPS	12	15
Shares Out. (in M):	191	P/E	10	8.3
Market Cap (in \$M):	23,700	P/FCF	0	0
Net Debt (in \$M):	-1,000	EBIT	0	0
TEV (in \$M):	22,700	TEV/EBIT	0	0

Description

Thesis

Kaspi superapp is a compelling long due to its high future growth trajectory (unassailable position in Kazakhstan's growing digital economy, plus multi-country expansion plans), top notch and relentless management team with a deep bench and strong culture (founders built it from nothing and own 44% of it), world-class margins (40%+ net income margin), low valuation (trades at 10x PE on '24 and 8x on '25), and a declining country risk. It's also an uncorrelated bet for one's portfolio.

For the reader who saw Kazakhstan and wants to move on: we rarely make investments in emerging or frontier markets. But over our decade+ history we have made selective and successful investments in various geographies when the opportunity was unusually compelling. We almost always looked for a company that paid dividends as this eliminated most frauds and too-good-to-be-true stories. Then we assessed if the jurisdiction was investable, and was likely to become "more investable" over our holding period, so that we get a chance at multiple expansion as market participants agree with us. Kaspi passed both of these tests when we invested over two years ago, and the story remains the same today, even as the price more than doubled.

Business model

We don't come across a business of this quality often. Kaspi is a superapp that provides payments, e-commerce ("marketplace"), banking ("fintech"), and government services (free) to both retail customers and merchants, creating a robust ecosystem that captures a large and increasing share of consumer spending in the country. They are in a unique position with no direct competition that can match this ecosystem. They are relentless in finding and integrating new services and verticals, which are in the early stages of growth but show significant promise. As they successfully scaled, they have contributed to the digitization of the Kazakhstan economy, one of the key priorities of President Tokayev, who is in power until the end of 2029.

We're just going to scratch the surface here on TAM and penetration of various services (Morgan Stanley has good detailed coverage of those metrics). The bottom line is that there are several years of 35-45% revenue growth in Kazakhstan alone. With over 14 million MUAs, Kaspi enjoys a dominant market position in the country, where 70% of the population already uses some part of the app. Its strong brand recognition, network effects, integrated ecosystem which creates stickiness make for a formidable moat. The engagement is world class, with about 10 million DAUs, so roughly 70% daily usage. This apparently high penetration is not a problem, it's an asset because the app is a must have, and the penetration inside some of the three main business lines is much lower. Payments started the journey and are most used, with 13 million users, Marketplace next with <8 million, and Fintech last with 5 million deposit customers. We believe there's a lot of room for those numbers to converge over time. Within each of these three divisions there are several verticals, with some new and very large (like e-grocery and e-car sales) which provide ample room for growth.

Today, Kaspi is the payment network in the country, is deeply integrated in the lives of the population, and it keeps finding new services to provide and monetize. The other key advantage is that users love it because their culture revolves around driving high user NPS for any new service, and they kill products that fail this metric. The only past example we're aware of is credit cards, which was supposedly around a third of the profits at the time but users hated it, and they shut it down.

Digital Payments

Payments is the most penetrated segment. Their QR code and various cards are 80-90% penetrated in the user base and were the early leaders in growing the superapp. Bill payments followed while the monetization of P2P payments is well behind.

On the merchant side, Kaspi is the underlying payment network of the country. They have acquired 700k merchants now and provided various other services like instant invoicing, B2B payments.

Payments volumes are growing 30-40%. The take rate on the consumer side is over 1% (including all fees for related services), and the take rate on the B2B side is around 0.6%. B2B is growing much faster, so there's a natural slow decline in the blended take rate of this business. Most revenues come from transaction fees (heavily weighted to consumer still), with a smaller portion coming from interest revenue on average free balances in people's accounts. Transaction expenses are minimal since they built the payment network themselves. Payments benefit from the growth of the rest of the ecosystem, as the app is centered around transactions which involve payments. Net income here will be growing 25%+ with probably slight declines in that rate in future years due to the growing share of B2B payments.

Marketplace

The marketplace segment includes e-commerce and mobile commerce (roughly a third of overall MAUs with underlying lower country online transaction penetration than the West), and then newer services with much lower penetration such as classifieds, travel, e-grocery, and e-cars (somewhere in the MSD-20% penetration). A new high growth division is e-car finance. This ongoing addition of verticals is driving a lot of the growth.

On the merchant side mobile commerce is most penetrated (people paying with their app in store), while e-commerce participation is still very low, along with new services like delivery, “postomats” (automated delivery kiosks in urban areas), and merchant and brand advertising on the platform.

Revenues here are largely comprised of fees taken on the 3P GMV that flows through the system. Their take rate is not high and has been growing, getting to 10% now. It's growing because of the multiplication of services added in the division, which include newer and higher profit merchant “value added services” like advertising, delivery, postomats, etc. The 3P GMV is growing 50-60% (will be less in Q3 due to no Juma, see Catalyst), with e-cars and travel as big recent verticals accelerating this growth. The other part of marketplace revenue, and a recent one, is 1P services, where Kaspi is an intermediary, which is comprised of two things now: e-grocery, a very large multi-year opportunity, and 1P e-cars, also a big but somewhat more limited market where they intermediate on quick turnaround transactions of better cars (most cars are sold 3P, person to person). On the 1P verticals, they earn roughly 30% GM in grocery and 15% GM in e-cars, both just starting up, and both with MSD net profit margin already. The addition of the 1P adds significant revenue growth to the company, but lower margins. This has been happening in 2024 and will continue. Overall marketplace is now growing revenue over 70% and we forecast 40-50% continued high growth in the next three years as grocery in particular has a very steep and long runway. Net income won't quite keep up with that due to grocery margin dilution, but increasing take rates with more contribution from travel and value added services makes it fairly close in 2025 in our view.

Fintech

The Fintech division includes BNPL payments (40% penetration) and general purpose loans (20%), with a growing deposit customer base. This provides a predictable income through interest and fees. Halyk Bank has been trying for years to dent Kaspi's dominance in retail banking to no avail.

On the merchant side, they provide micro business financing and inventory financing. Increasing lending to SMEs is a growing priority for the government and a high area of growth for Kaspi.

Revenues come vastly from 25-26% annual combined interest and fee yields on the outstanding loans. This is stable to lower in the future. Their loans to deposit ratio has been lower than normal in the last year and loans are now ramping. Interest costs will start coming down from Q3, Q4 and into 2025, as the central bank has started lowering rates (now 14.25% from 16.75% peak) and KSPI's customers' one year deposit locks start lapsing and rates will re-rate lower. So funding costs will be going down, and coupled with growing loan to deposit ratio back to the normal 90-100% range, should lead to significant net income improvement for fintech (which has been close to flat y/y), to roughly 35% in 2025. Note that the government has been discussing increasing the tax on banks from 20% to 25% for a while (as the budget has a ~3% deficit due to the growth & social investments undertaken by the president), and it will come up for discussion again in 2025, and for conservativeness we assume this happens in our forecasts.

Government services

This is not a reporting business line since the services here are free. This is Kaspi's main value-add to the government ensuring long lasting regulatory stability, along with very useful services for the user and merchant base. They provide passport, driving license, car ownership, tax filings and payments, life events, business registration, and other services.

Margins

This is not a margin expansion story. Kaspi has a highly efficient cost structure, as evidenced by its 41% net income margins, which are in rarefied territory. It helps that the founders came from a PE background and ran a scrappy small bank operation in the beginning. They are highly focused on cost control and streamlined operations. Their technology is built in house and the brand gives them first dibs to the best talent around. Technology costs are leveraged across the three main parts of the app, creating significant leverage. Their #1 brand and vertical reach across services makes for ridiculously low S&M costs. G&A is low as Kazakhstan is a low cost jurisdiction. Credit risk has been low and declining over time as they have probably the most complete and accurate user profile of any company in Kazakhstan.

The addition of the large grocery vertical with much lower margins has created a lot of topline growth and of course led to margin dilution over the last two years. BTW, we think that type of margin at the start of a grocery business is a big success. We think overall net margins will decline much less in 2025 (or possibly be flat) as the Fintech division ramps profits substantially.

Kazakhstan

Kazakhstan is a very rich country, with large deposits of oil and gas and the world's largest deposits and production of uranium. Nuclear energy is having a global renaissance in the drive to net zero, with the uranium market in a large deficit, so access to Kazakhstan's production is becoming a sought-after economic and political lever. The country was mismanaged for 28 years under the former president who took over with the dissolution of the USSR.

In our view, the new President Tokayev (whom we met) is a reformist focused on trying to bring his rich but under-developed country out of a corrupt and low-growth history under his predecessor. Tokayev was elected for a single seven year term in the fall of 2022 (he limited the presidential term to a single term), and is (slowly) opening up the political system to more opposition after he strengthened his position having passed through an attempted coup in early 2022, when he was effectively interim president before the elections. He has spent the last two years consolidating his mandate and creating a new ambitious plan of economic growth and diversification with strong FDI engagement, and social welfare measures for the rest of his term.

He promotes a digital-first Kazakhstan and regularly mentions Kaspi as a Kazakhstan regional and world champion in technology, meets with the two founders fairly regularly (e.g. including immediately after the successful Nasdaq IPO earlier this year). Kaspi provides a large array of government services for free, which make the citizen-government interactions work better, and everyone likes it. We believe the company is seen by the state as an aligned symbol of strength and leadership, and has the full support of the government. This is a period in Kazakhstan history where the president is engaged in a massive re-working of the economy over his remaining five years, has regional political leadership ambitions as as Central Asian rising “middle power” (deservedly, in our

view), and is likely to maintain support behind a national technological champion like Kaspi.

Importantly, China has strong business interests and a long historical connection to Kazakhstan. China launched their Belt and Road initiative here. President Xi's first international visit post Covid was to meet Tokayev. Further, Xi was in Kazakhstan one two state visits in the last year. He considers Kazakhstan a key transit way for his good to Europe, and needs their uranium as China is the largest builder of nuclear power plants over the next 20-30 years. Famously, in 2022, Xi during his visit publicly stated that China "will protect its independence, sovereignty and territorial integrity" - it can't be more clear than that.

Management

The original business was Kaspisky bank, bought by Vyacheslav Kim (one of the two founders) along with Baring Vostok Capital (private equity firm, still a large shareholder). Mikheil Lomtadze (the CEO and the other founder) was a rising star partner at Baring Vostok and they gave him this bank to fix and grow. He became CEO in 2007 and the rest is history. The most important thing to note is that they had a massive competitor at the time in Halyk Bank (the other large bank in KAZ, more focused on business than retail), which was in part owned by associates of the former president until his resignation in 2019. It's pretty clear that Kaspi management had to engage for more than a decade in serious hand to hand business combat against a much larger and well connected competitor, and won.

Lomtadze is an undisputed superstar. He is originally from Georgia, was a private equity investor in Russia, then took a small bank to a dominant superapp in Kazakhstan and made himself a billionaire in the process. He successfully navigated a run on the bank earlier in the history when the brand was not strong and other government-linked banks in Kazakhstan needed rescuing (not Kaspi). Then he successfully navigated one of the worst political crises you can think of: violent protests in Kazakhstan in January 2022 (most likely an attempted coup in the early tenure of the new President Tokayev, now firmly in power), and Russia's Ukraine invasion in February. He posted a video on YouTube at this time. We think it's a must watch for leadership under pressure, owner mentality, and putting users first, whether you buy this stock or not (<https://www.youtube.com/watch?v=HxHPf3SsITA>). He's been named the #1 CEO in Kazakhstan for years in a row. HBS wrote two case studies on Kaspi and Lomtadze. He owns 23% of the company. He's very cautious on new business lines which must go profitable almost immediately. He's taking his time with the international expansion assessing country risks, brand values, and management teams on potential targets he's being pitched. We had multiple discussions over time where he showed clear receptiveness to our feedback on dividends and buybacks.

Vyacheslav Kim is Chairman and the other original founder. His role lately has been less operational, with a heavy emphasis on government relations. Kaspi excels in government relations and this requires a lot of work, relationship building, and foresight. This is a key value add for a business operating with such a powerful position in an emerging market. The big government services vertical ensures that the company is in constant contact with regulators and top government officials, all the way to the President.

Catalysts

Continued strong and likely accelerating net income growth in 2025. The company already flagged Q3.24 will have lower than normal GMV growth due to a double impact of the Juma shopping holiday (eg "Black Friday") which they hold three times a year and was in last year's Q3 but not this year. We don't think net income growth will slow down much, as Fintech starts to accelerate, and thus profit growth will accelerate from mid 20s to high 30s in Q4.24. There's a chance the company actually raises the profit growth forecast for 2024 (guided to 25%, we think it ends up high 20%s) but you don't need this for the stock to work. More importantly, in 2025 fintech profit acceleration (above) and continued strong marketplace should drive net income growth in our view to low-mid 30%s, above the 2024 rate.

International expansion: Kaspi's strategic goal of entering new countries could unlock significant growth potential within the next year. The company has hinted at targeting larger markets in their long term goal to get to 100 million users. Uzbekistan is clearly a target, with the announced bid for the second largest payment network, and it's a large country at a much earlier stage of development and lower GDP/capita than Kazakhstan, with a lot of growth potential. Post war Ukraine is also clearly a significant target for Kaspi. They were close to launching there before the war. Ukraine will benefit from a large amount of rebuilding funds from the EU and the US and an educated internet-savvy population with a lot of pent up demand. Importantly, we think Kaspi will be an easy way for the market to play the Ukraine rebound. Other possible targets (speculating) could be Turkey and the Middle East. Importantly, this moves Kaspi into a multi-market app, which the market should reward with a higher multiple given a larger avenue for growth via underpenetrated markets.

Growing familiarity to the US tech investor base. Kaspi IPO-ed in London in 2020 as a stepping stone to an eventual US listing, which happened in January 2024. The Nasdaq move was already beneficial as \$ADV had an order of magnitude step up to over \$20m but we don't think it had much impact yet on the multiple. If you look at the holder list, there's a lot of room for adding US tech investors. In many of our conversations to date people have not yet heard of this company, or heard Kazakhstan and moved on.

Dividends and Buybacks: Kaspi pays a 6% dividend yield now for a tech company growing earnings at 30%. They also bought back a chunk of stock at lower prices and have the ability to continue doing that anytime. We believe they are temporarily banking more cash to fund an eventual acquisition as the dividend could have been otherwise (could also take on some debt of course).

Continued steady improvement in country risk: Kazakhstan's geopolitical situation is already much improved post the Ukraine invasion fears. The 5 year CDS is around 110, down from 300 in early 2022, but still above 60-70 pre-invasion. As discussed, President Tokayev is a very able strategist, balancing the relations with China, Russia, US, and US, and emerging as the leader of Central Asia. This is a key country for the West's power projection in the region and a key supplier of uranium for the nuclear plant renaissance under way. We believe the Chinese territorial guarantee takes any tail risk off the table. As President Tokayev progresses on his term and maintains his key priority on FDI and development, country risk will keep coming down.

Valuation

For 2024, we forecast Kaspi will earn roughly \$12 per share. For future years we assume the Tenge currency continues depreciating vs. the dollar M-HSD%, in line with history, though it's important to note that the Tenge is flat vs. the dollar in the last two years, over a strong dollar period. Obviously this lowers our future EPS in USD. We don't hedge the tenge as we believed the hedging cost (HSD% last we looked) was not worth it.

For 2025 we get close to \$15 (so 8x+ PE) and for 2026 we get close to \$18 (so 7x PE).

The stock traded at 15x (and above) before the Ukraine invasion. As argued above, we think a discount due to Russia is now unwarranted. We do think the multiple will keep increasing as we approach the end of the war and US investor familiarity with the stock increases. Our current target price is \$210 using a 14x multiple on \$15 EPS.

A few relevant examples:

- MELI and NU, both high growth apps in Brazil (but multi-country), and both inferior in our view as a user and merchant ecosystem vs. KSPI. We can debate the relative jurisdictional and presidential risk profiles of the two countries. MELI trades over 40x PE on '25, and NU trades at 22x PE on '25.
- Allegro in Poland trades at 26x PE on '25.
- Tencent in China trades at 16x PE on '25. Again we think the political and regulatory environment in China is significantly worse than in Kazakhstan. BABA trades at 9x on '25 but has idiosyncratic issues (though this one seems very cheap to us).

Risks

- Government Intervention: This is probably the most significant long term risk. The government could decide to exert more control over Kaspi due to its dominant market position. The obvious example is Ant Financial in China, where government intervention derailed a massive IPO, restructured the business for the worse, and removed the leadership. Jack Ma openly and strongly criticized the Chinese regulatory system and state banks (thus the system) as being outdated and stifling innovation. This was a sensitive political time for the leadership in China and he was immediately sanctioned from the top down. As highlighted above in the Kazakhstan section, we think Kaspi's position is night and day vs. the situation Ant Financial found itself in.
- Geopolitical Risks: While the geopolitical situation in Kazakhstan has improved and we argue is continuing for the better, the proximity to Russia and the ongoing war in Ukraine present a degree of uncertainty. Any deterioration in regional stability could negatively impact Kaspi's operations and investor sentiment.
- Execution Risks: Geographical expansion, especially in emerging markets, always carries execution risks. We think the team is careful and very good at making political and economic decisions given their history to date.
- Lower level risks: slowing growth and competition: At some point the runway in Kazakhstan will slow. We don't see this happening for 3 years. There is low level competition from Halyk and a few other ecom players which mostly compete on price, but are unable to offer a full suite of services. However, Kaspi is likely to be in multiple countries within a year.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

- Continued strong and likely accelerating net income growth in '25
- International expansion
- Growing familiarity to the US tech investor base
- Dividends and Buybacks
- Continued steady improvement in country risk

Messages

Subject New report
Entry 09/19/2024 10:37 AM
Member gtwt
<https://x.com/CulperResearch/status/1836758334864605446>

Subject Re: New report
Entry 09/20/2024 07:55 AM
Member Dr1004

This report seems to make the wild claim that Russians who legally moved to KAZ after the Ukraine invasion should not be using Kaspi and that any \$ spent on Kaspi that has any ties to Russia is illegal. Why don't we sanction Amazon for the Russians who moved to the US? Overall, I didn't find the report insightful. Just makes a bunch of innuendos while purposefully not giving all the facts that are not useful to the bear case. I'd take the other side on the -16% selloff.

Subject re: new report
Entry 09/20/2024 09:08 AM
Member TheSkeptic
 not ideal when i financial instit has such allegations

Subject Re: Re: New report
Entry 09/20/2024 09:29 AM
Member eigenvalue
 That's not accurate. For instance, you are ignoring allegations of transactions with a 30% owner who is accused of being a criminal.

Subject Re: re: new report
Entry 09/20/2024 09:31 AM
Member Dr1004
 It's not illegal to do business in non-sanctioned goods with Russia. That's 13% of Kazakhstan exports and 38% imports. One perhaps can argue it should be illegal but it isn't the law.

Subject Re: Re: Re: New report
Entry 09/20/2024 09:33 AM
Member Dr1004
 He is not the owner...

	31 December 2023 %	30 June 2024 %
Baring Funds*	27.53	25.45
Mikheil Lomtadze	24.67	22.60
Vyacheslav Kim	23.47	21.40
Public Investors	20.92	26.88
Management	3.41	3.67
Total	100.00	100.00

*As at 31 December 2023 and 30 June 2024, Asia Equity Partners Limited held 21.06% and 19.00% of total shares, respectively and Baring Fintech Nexus Limited held 6.47% and 6.45% of total shares, respectively, on behalf of Baring Funds.

Subject I don't understand basic premise of short report
Entry 09/20/2024 11:10 AM
Member Sam van Noort

Most of the short report seems to assume that Kaspi is liable because it has accepted deposits from ordinary Russian citizens or businesses.

I am not a lawyer, but to the best of my knowledge the US and EU sanctions do not prohibit companies from doing business with all Russian citizens or businesses.

The sanctions only prohibit companies from doing business with *certain* Russian citizens or businesses that are on the sanction list, and the short report does not provide evidence that Kaspi has accepted deposits from these groups.

Not that I am naive enough to think that the US government respects international law, but untargeted sanctioning of civilians not directly involved in the government or war effort would also be regarded as illegal under basic proportionality principles of international law.

The "smoking gun" of money laundering via Kaspi accounts by Kairat Satybaldy may be a problem for Kaspi, but these things happen in large banking operations, and would certainly not be a large enough issue to warrant sanctions, delisting, and the current stock price reaction.

Subject Reaction by company to short report
Entry 09/20/2024 11:13 AM
Member Sam van Noort

The company has issued the following reaction to the short report:

"In our view, the report is misleading, inaccurate and misrepresents our business. Being the first company from Kazakhstan to successfully list on Nasdaq has obviously raised our profile amongst short sellers. For those investors who have known us over the years, our reputation speaks for itself."

Perhaps it is more of a style thing, but isn't this a bit too short/blunt of a reaction? Shouldn't they go into each individual allegation and provide concrete counter arguments?

Subject	Re: Reaction by company to short report
Entry	09/20/2024 11:15 AM
Member	otto695

Some PR firms advise, "when you're explaining you're losing"

Subject	Russia Disclosure
Entry	09/20/2024 12:55 PM
Member	tps12

To be clear, we are not involved. In the too hard pile, despite being a fascinating business.

Based on my reading of the short report, the key theme appears to be the fact that Kaspi explicitly put in their disclosures that they have no exposure to Russia. The short report then provides some evidence that there is, in reality, exposure to Russia that was/is not disclosed (i.e. non-zero percent of deposits, gmV, etc).

The follow-up questions for me would be:

- Why didn't they disclose it, particularly when it seems to be such an obvious risk for US investors re. Russian/Ukraine conflict?
- Are there other things that were not disclosed re. Russia?
- If there was deception, how can I trust management going forward?

With the known corruption issues in the country, there just seems to be too much credibility risk related to disclosures. And if this mgmt team doesn't have integrity, how is it investable?

Subject	Re: Russia Disclosure
Entry	09/20/2024 02:19 PM
Member	Dr1004

tps12,

The short report misleadingly says random Russians living in KAZ means "exposure to Russia" - how does that make any sense?!

Note they disclose they have a 0.1% of assets in Ukraine and 0.05% of net income there because they own an entity there.

I can see how any short report on a financial institution in Kazakhstan makes it too hard ot leads to conclusions that mgmt has no credibility. On a flip side, I believe that in 12 months this short report likely wont matter and the stock will perhaps double. Everyone should do their own work. Time will tell...

Subject	Re: Re: Re: Re: New report
Entry	09/20/2024 02:45 PM
Member	gtwt

Is he not?

<https://www.forbes.com/sites/daviddawkins/2020/11/25/the-two-billion-dollar-mystery-behind-the-ownership-of-london-listed-kazakh-fintech-kaspi/>

Satybaldy then appeared to cash out prior to Kaspi's failed 2019 London IPO attempt. This year's Kaspi IPO prospectus shows that between July and September 2018, Satybaldy (spelled Satybaldyuly in the document) unloaded his entire shareholding in the company through a series of sales on the Kazakhstan Stock Exchange (KASE), and completed his exit on October 1, 2018. (The company was listed on the Kazakh stock exchange but had just four main shareholders.) The prospectus shows that this is the same period during which Kim bought and "transferred" nearly 39.9 million shares to Lomtadze.

Kate Mallinson, associate fellow at London-based policy institute Chatham House, says the movement of "one stake from one shareholder to another with little explanation suggests a typical Kazakh playbook [of] corporate behavior." Adding, "If Satybaldy's name had been on the ownership [this year], red flags would have alerted any financial institution interested in the listing. Behind the scenes, the extended Nazarbayev family own most of the banking sector and Kairat [Satybaldy] is one of the most influential economic actors."

Dosym Satpayev, a director of the Risk Assessment Group, an Almaty-based consultancy firm, says that the "point of view" among geopolitical analysts in Kazakhstan is that "the departure of Kairat Satybaldy from Kaspi Bank was formal and is precisely connected with the IPO, since the presence of Kairat Satybaldy among the bank's shareholders could negatively affect the bank's reputation during the IPO."

Satpayev suggests, "Kairat Satybaldy transferred (or sold) his shares to other shareholders" and these shareholders "may" have "entered into a safe agreement with him that, as nominal owners of the asset, they will take into account his interests and return the shares upon demand to the true owner."

Subject	Re: Re: Re: Re: Re: New report
Entry	09/20/2024 03:53 PM

Member

Dr1004

gtwt, you link to an article from 4 years ago. It was debunked so many times so I dont even know where to start. It was written by a "wealth reporter" around the time of London IPO. The guy writes about billionaires. Almost everything in the article is wrong. Since then we and others did their own due diligence, including the U.S. listing earlier this year. This article should be read as a piece of fiction.

Subject
Entry
Member
Ok then

Re: Re: Re: Re: Re: Re: New report
09/20/2024 04:01 PM
gtwt

Subject
Entry
Member

Random Thoughts on Kazakhstan
09/20/2024 05:44 PM
ele2996

I wrote up Halyk Savings Bank of Kazakhstan in 2022. It had a long introduction on corruption in Kazakhstan ending with "if you don't like the neighborhood, you shouldn't travel farther." Nursultan Nazarbayev ruled the country from 1984 to 2019. During those years, his family (and it is a large one) stole a vast amount of money - billion and billions. Things seem to have improved under President Tokayev, but it is not Norway. President Tokayev has offered pardons to thieves who return to Kazakhstan with their ill-gotten gains and invest in Kazakhstan.

Kazakhstan was part of the Soviet Union until 1990. It was under Russian control from the 18th century. It shares a long border with Russia. 15% of the population of Kazakhstan are of Russian heritage. The country is going to pursue a policy which keeps it friendly with Russia - it has no alternative. On the other hand, Kazakhstan shares a border with China. Xi's first visit to a foreign country after covid was to Kazakhstan. He pledged China's protection. This is good diplomacy for a country with its particular geography.

On 8/21/2024 President Tokayev met publicly with the management of Kaspi and praised the company for their contributions to Kazakh society for lending to entrepreneurs. The company seems safe at home.

On 9/11/2024 Bloomberg reported that Vyacheslav Kim was in negotiations to buy First Heartland Jusan Bank. This bank had recently been purchased for ~\$100mm by another Kazakh from a British trust purportedly owned by Nursultan Nazarbayev. Jusan Bank is run by Gulmira Dzhumadillayeva who had been deputy CEO of Kaspi. Kim stated that he would operate Jusan Bank in a manner so as not to compete with Kaspi.

On 9/12/2024, Moody's raised Halyk's credit rating to Baa1 from Baa2. Unusually, Halyk carries the same rating as its sovereign. On 9/17 Halyk got a \$300mm loan from a syndicate lead by Citibank.

Kazakhstan is the 9th largest county by size and has a population of only 20-24 million. It is resource rich. If the thievery stops or is lessened substantially, it could have a prosperous future. In the meantime, it is Kazakhstan.

Subject
Entry
Member

Re: Russia Disclosure
09/20/2024 08:49 PM
Sam van Noort

I hear you on the Russia disclosure.

They did write that "Our business does not have any exposure to Russia or Russian businesses.", and it does turn out that they have allowed Russian citizens that moved to Kazakhstan to open bank accounts, that they continue to work with several Russia-based partners (self-checkout payment operators, last-mile delivery, public relations), and that they have allowed ordinary Russian businesses/citizens to sell/buy products on the platform.

(Raiffeisen is actually an Austrian (and unsanctioned) bank, so strictly speaking, them dealing with this bank does not violate the cited statement and Kairat Satybaldy using Kaspi accounts to launder money to then with the proceeds buy property in Russia does also, strictly speaking, not violate the cited statement)

I would note, however, that another interpretation outside of them lying or being ignorant is also possible: They may have implicitly meant "Russia or Russian businesses" in the sense of those linked to the Kremlin and the war machine. The quote does in the end come from a paragraph about "international geopolitical risk" and simply doing business with ordinary Russian citizens and businesses does not seem to be really relevant here given the structure of international sanctions mentioned in my post 7 below.

I am not saying this is linguistically correct; I am just saying that it is possible that they made a wording mistake.

Quite notable, I think, is the inverse of the short report – i.e., what did Culper *not* find, even though I am sure they worked hard to find:

1. Accounting problems (e.g., cash not being there, scraped e-commerce data not tracking with financial reports).
2. Damning quotes from former employees and customers about things the company is doing.
3. Problems with loan reserving/losses.
4. Evidence that competitors are in the process of eating their lunch.

For full disclosure: I used the pullback today to open a very small position.

Subject	Re: Re: Russia Disclosure
Entry	09/20/2024 09:03 PM
Member	gtwt

I don't think it's OK to copy paste other people's insightful tweets and add "I think".

Subject	Re: Re: Re: Russia Disclosure
Entry	09/20/2024 09:24 PM
Member	Sam van Noort

Mate, this is just an anonymous discussion forum where we are trying to learn from each other.

Everybody is anyway reading both this and X and I just want to hear what other people here have to say about it.

I am sure all people constantly mention things here that they have read/heard somewhere else, or partly did, and have mixed it with some other ideas partly their own and partly that of others in one big mix.

You want to spent time on reference lists?

I indeed think it is interesting what they haven't found, you don't?

Subject	Found tweet
Entry	09/22/2024 09:58 AM
Member	Sam van Noort

You act like I have tried to use someone else's tweet to make myself look good on this forum. I actually don't even know a single person in real-life from VIC. Why would I then get involved in such petty status games.

Also, don't you think that if that was my purpose that I would simply rewrite the tweet in my own words, considering that everyone obviously reads both VIC and X.

For every company that I follow I simply have a big Word file with all sorts of things copied from write-ups and annual reports and things I wrote myself.

If I then finally put 1+1 together and have a question that I think would be relevant to ask VIC members I simply copy things out of this document. I don't really got time to keep references organized.

In any case, I have taken time out from my Sunday morning to search on X for the tweet where the second part of my post 16 came from.

It is here: <https://x.com/timothyhliu5/status/1837166388001051054?s=46&t=56D2HssQ5RB9Ce5qAYPoYg>.

Insightful tweet by Timothy Liu.

Credit given where credit is due.

Subject the kazakh regulator defends kspi
Entry 09/24/2024 05:15 AM
Member Bud_Spencer
<https://www.gov.kz/memleket/entities/ardfm/press/news/details/851017?lang=en>

Subject additional response from the co
Entry 09/24/2024 07:40 AM
Member Bud_Spencer
https://ir.kaspi.kz/media/Kaspi.kz_Responds_to_Investor_Questions.pdf

Subject Re: additional response from the co
Entry 09/24/2024 07:57 AM
Member Bud_Spencer
 such a unforced error by the short sellers ...

Mrs. Yulia Kim is leading our e-grocery operations and is the driving force behind its success alongside the rest of our team. She is not the daughter and has no family relationship to Mr. Vyacheslav Kim.

Subject podcast with the founder
Entry 10/07/2024 12:38 PM
Member Dr1004

It's a good summary of the company that gives you a sense of the CEO, philosophy and how the company is managed:

<https://open.spotify.com/episode/1pTeQvpG9kct0loy9qnOly?si=8a0c5137ff0044f6>

Subject Re: podcast with the founder
Entry 12/05/2024 02:48 PM
Member TooCheapToIgnore

Thanks for the great writeup. This is fascinating. Seems like Central Bank has an initiative or something of its own lately? But as you analyzed the situation, it felt like CB and Kaspi were very tight. Imagine the CB dynamic is quite important. Any thoughts? Any other updates? Thanks again, good stuff.

Subject Dividend and cash needs q.s
Entry 01/16/2025 11:30 AM
Member TBayesian

Any sense what the Company will do with the dividend this year? Upcoming quarterly earnings (i.e., for the QE 12/31/2024) I think should be very strong, including all-time high EPS & topline that I anticipate.

However, I'm uncertain about cash flow generation and cash needs, for instance, due to M&A spend. I'd appreciate hearing others' thoughts on this...especially if anyone here on VIC speaks to employees/Management regularly: what is your hunch about future dividend/capital plan? Thanks.

Subject Re: Dividend and cash needs q.s
Entry 01/27/2025 10:02 AM
Member Dr1004

- TBayesian, on dividends: we have no idea, but management was asked about it repeatedly on the Q3.24 call and they hinted that it could be stopped temporarily to pay for the Hepsı acquisition. Quote: "... the assumption you could make is that the next call on cash generated in the fourth quarter and/or between now and the transaction closing is to fund the transaction. And you can draw your own conclusion on that with regard to sort of the potential to pay dividends." So they may decide to pause for a few quarters while they pay for HEPS. It doesn't bother us given the accretive M&A use. In the next sentence they say "... investment grade rating for Kaspi.kz is a good thing to have. It gives us medium-term financial flexibility to do various things, whether that be investment, pay dividends, buy back stock or whatever else might be on the agenda." So another call on cash could also be restarting the buyback, and with the stock at \$95 vs \$111 (on 10/21/24 at the Q3 call) would be a good use in our book. We think the stock has been weakish because of the global strengthening of the USD since the election. We think the tenge reached quite weak levels now (the real interest rates in KZ are high), and the tenge started appreciating sharply in the last week that should help going forward.
- Our confidence in this business and the management team is high. Below is a link to Mikheil's latest podcast. They continue educating the U.S. investors on the merits of the business which should help.
- The entry into Turkey via purchase of HEPS throttles the growth up over the coming years and HEPS is ripe for margin expansion as they grow it from marketplace only to a superapp using the KAZ playbook. Turkey and KAZ share a lot of similarities and heritage (look into the Organization of Turkic States). Also, Turkey is finally engaged in the right economic policies in the last year and the future there should be good in our view. Plus, we think they bought Hepsı very cheaply and Trendyol (the larger Alibaba backed marketplace in Turkey) got in trouble with regulators for price squeezing everyone else and they were cut back with regulation, making life significantly easier for the #2 player Hepsı, which has already reduced marketing spend and increased their margins. This is likely to continue. Note how quickly Kaspi received the approvals from multiple Turkish regulators.
- <https://open.spotify.com/episode/3fzdebBLNHxJanBHtCsd6p?si=flr7pIHZTjONEZCJ7mEYdA>
- TooCheapToIgnore, on the central bank, the national payment system has been worked on for years and it's a government system so who knows how good it will be. Plus it's a solution in search of a problem now since Kazakhstan payments are mostly digital already, with Kaspi having 80% market share. As far as we know it was supposed to be live in late 2024 already. The government was explicit that it won't regulate fees, which are very low already (this is how KSPI won over V and MA in KAZ years ago). So banks won't compete over it by price. Thus any incremental flow should go to where consumers find most services. The company was asked about it last year and they commented that if anything this could increase payment volumes and they'd benefit from that as consumers gravitate to Kaspi due to the marketplace and banking ecosystem on top of payments.